CONFIDENTIAL INTERNAL COMMUNICATION
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POLICY NUMBER: FP-OPSFIN-115

# Foreign Currency Exchange

This policy provides guidelines for Foreign Currency Exchange at the Hotel.

# POLICY STATEMENT

This policy includes required guidelines for managing Foreign Currency Transactions including the controls surrounding the process.

# APPLICABILITY

All Owned & Operated Hotels (including Shared Service Centers supporting these hotels).

# EXCLUSIONS/EXCEPTIONS

For all hotels located in the U.S. or U.S. Territories SOP-OPSFIN-210US must also be referenced. Hotels located outside of the U.S. or U.S. Territories are not subject to the terms of SOP-OPSFIN-210US and are required to determine and comply with any money laundering legislation in their location.

Managed properties must comply with the foreign currency transaction accounting requirements of this policy (section C) unless the terms of the Management Agreement specify an alternative method, in which case the terms of the Management Agreement should be followed.

# A. FOREIGN CURRENCY EXCHANGE GUIDELINES

1) Hotels can offer foreign currency exchange services to guests of the Hotel to exchange foreign currency into the local currency of the country in which the Hotel operates. The Hotel must ensure that this is permitted under local legislation and licensing requirements before offering this service.

2) Only guests of the hotel can exchange foreign currency. The Guest Service Agent (GSA) at the Front Desk must ensure that the person wishing to exchange currency is a registered guest at the hotel before carrying out the transaction.

3) Foreign currency exchange transactions are only to take place at the Front Desk.

4) The hotel is only permitted to accept non-local currency in exchange for local currency. Under no circumstances is the hotel to accept local currency for non-local currency.

5) The hotel Finance Leader will inform Front Office which currencies the Hotel will accept in exchange for local currency.

6) The exchange rates should be either clearly displayed at the reception / front desk or readily available to provide to the guest.

7) Exchange rates are required to be updated weekly, or daily, if necessary, as determined by the Finance Leader due to the risk involved in currency fluctuations. The exchange rates are to be updated as part of the night audit process, based on the rates received from the hotel bank or a corporate approved automated service. The hotel is then required to mark up these rates consistent with local market conditions to account for the commission fee.

8) All local laws and regulations must be carefully reviewed and applied when a hotel is offering foreign currency exchange services. Particular attention must be paid to the amount that can be exchanged to one individual and the documentation that is required from the guest. The requirements for record-keeping / reporting in accordance with local laws / money laundering legislation must be clearly communicated to Team Members and complied with at all times. In particular for properties located in the US, federal law places restrictions on Hilton's ability to exchange foreign currency. Please see SOP-OPSFIN-210US Guest Cash Transactions for further guidance.

# B. FOREIGN CURRENCY EXCHANGE ACCOUNTING

1) Once the transaction is processed in the PMS, three copies of the receipt will be printed. One copy is for the guest, one for the envelope in which the cash is dropped, and one for the cashier audit. The cashier audit copy must be signed by the Team Member and guest.

2) The foreign currency taken during a shift must always be dropped, including instances where the house funds will be

below its required level. In this case a due back is required to be completed (reference FP-OPSFIN-111 General Cashiering for further guidance).

3) The General Cashier must then record the foreign currency as part of their daily reconciliation. The timing of the foreign currency bank deposit is at the discretion of the Finance Leader (depends on volume and related deposit fees); however, all foreign currency must be deposited at least monthly.

4) Due to the fact that the hotel is using a marked-up rate to process the transaction there should generally be a gain on foreign currency. This gain (or loss) when realized must be posted as Revenue to Guest-Related Foreign Currency Transaction Gains (Losses), in Miscellaneous Income (11500-438230). The Management Agreement may dictate further revenue / expense definitions which will need to be considered when completing the management fee calculations.

5) If a cash deposit is received in a foreign currency that is accepted by the Hotel, then it is to be entered in the PMS at the same rate as if it were a foreign currency exchange. This will then show as the equivalent local currency on the guest bill. The same procedures above for banking and recognizing the gain will be followed.

6) Under no circumstances is the guest to be refunded any unused deposit in any other currency than the local currency of the country in which the Hotel operates.

7) Where the property offers Dynamic Currency Conversion (DCC), a service that allows credit card purchases in a foreign country to be made in the customer's home currency, the gain when realized must be posted as Revenue to DCC Commissions, in Miscellaneous Income (11500-436020).

# C. FOREIGN CURRENCY TRANSACTION ACCOUNTING

The following procedures are applicable to foreign currency transactions other than the exchange transactions completed at front desk:

1) **Unrealized Foreign Exchange Gains or Losses**: Balance Sheet revaluation transactions, not related to Hotel Operations.

   Hotels should record the transaction at the spot rate closest to the date of the transaction. Any amounts outstanding (debtor or creditor, for example) should be re-measured using the end of month exchange rates for assets, liabilities, and Intercompany (other than long-term investments).

   The difference between the rate used to record the initial transaction and the rate used to re-measure the amounts outstanding on the Balance Sheet (debtor or creditor) are required to be recorded as Unrealized Foreign Exchange Gains or Losses in Other, Non-Operating Income and Expenses (11750-831020), below GOP.

2) **Non-Guest-Related Foreign Currency Exchange Gains (Losses)**, related to Hotel Operations:

   a) Upon settlement (when the AP invoice is paid) or receipt (when the AR payment is received) of the outstanding amounts the difference should be recorded to Non-Guest-Related Foreign Currency Exchange Gains (Losses), in Other Expenses, Administrative & General (11700-730415).

   b) When properties sell in a foreign currency (e.g., USD or EUR) and issue guest invoices in Local Currency, the accumulated foreign exchange difference on the guest folio upon checkout should be recorded to Non-Guest-Related Foreign Currency Exchange Gains (Losses), in Other Expenses, Administrative & General (11700-730415).

# DEFINITIONS

| TERM/ACRONYM | DEFINITION |
|---|---|
| **Finance Leader** | Ranking Accounting / Finance representative for the property (i.e., DOF, Controller, or Finance Manager). |